MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2026
FOURTH SEMESTER
Discipline Specific Core Course (DSC) - MG4DSCECO202
ECONOMICS OF MARKETING (2024 ADMISSION ONWARDS)
SCHEME OF VALUATION

Duration: 2 Hours **Maximum Marks:70**

PART A: Multiple Choice Questions - Answer all questions

Each question carries *1 mark* [1×10=10]

1. B. Goods
2. A. Consumer to Administration
3. C. Increased toxic waste production
4. B. Customer needs and wants
5. A. Sales Maximisation
6. A. Public Relations
7. B. B2B
8. C. Direct
9. B. Inform, persuade and remind customers
10. B. Enhancing customer satisfaction and loyalty

PART B: Short Answer Questions

Answer any 10 Questions – Each question carries *3 marks* [3×10=30]

11. **Profit Approach in Modern Marketing:** Profit-driven approach maximises efficiency and strategically reinvests profits - guided by the objective of maximising the firm's profit than just increasing sales volume or market share - focuses on improving customer service as a pathway to profit - meaning firms focus on identifying customer needs, delivering superior value, and building long-term relationships that ultimately enhance profitability.
12. **Importance of Employee Satisfaction in Internal Marketing:** Define internal marketing as the practice of treating employees as internal customers - how employee satisfaction directly impacts the overall success of the organization - satisfied employees deliver better service to customers, leading to improved customer satisfaction and loyalty - focus on employee satisfaction promotes a positive

workplace culture, reduce turnover rates, and thereby communicate brand values effectively - creates a motivated and productive workforce that contributes to their success.

13. **Note on <u>any 2</u> Pricing Methods:** Cost Plus Pricing: Selling Price = Unit Cost + Fixed Profit Margin - ensures all costs are covered and profit is guaranteed - Example: Cost ₹100 + 20% mark-up → ₹120. Value Based Pricing: Price is set based on customer's perceived value - used for premium or differentiated products - Example: Apple iPhone pricing. Competition Based Pricing: Price is fixed by analysing competitor prices - useful in markets with similar products - Example: Telecom plan pricing. Geographic Pricing: Different prices for different regions or locations - reflects transport cost, taxes, or local demand - Example: Higher prices in metro cities. Promotional Pricing: Temporary price reductions to boost sales - used during festivals or clearance periods - Example: Diwali sale discounts. Freemium Pricing: Basic version free; advanced features paid - common in digital products and apps - Example: Spotify free vs. premium.
14. **<u>Any 2</u> Types of Pricing:** Penetration Pricing: Low initial price to enter the market quickly - helps attract customers and gain market share - Example: New OTT platform offering ₹99/month. Price Skimming: High initial price, then gradually reduced - used for innovative or new technology products - Example: New smartphone launch. Psychological Pricing: Prices set to influence perception (e.g., ₹999 instead of ₹1000) - makes the product appear cheaper - Example: Retail clothing stores. Premium Pricing: High price to signal superior quality or exclusivity - used by luxury brands - Example: Rolex watches. Bundle Pricing: Multiple products sold together at a combined lower price - encourages customers to buy more - Example: Fast food combo meals. Dynamic Pricing: Prices change based on demand, time, or conditions - common in travel and online platforms - Example: Uber surge pricing.
15. **Information Search in Consumer Buying Behaviour:** Information search is the stage where consumers actively seek information to reduce uncertainty before making a purchase decision - consumers use internal sources (memory, past experience) and external sources (friends, ads, internet, reviews) - the purpose is to compare alternatives and make an informed decision - appropriate use of an example
16. **Reasons for the Emergence of Modern Marketing:** Explain that modern marketing emerged due to significant changes in the business environment, consumer expectations, and technological developments - Any ***three*** valid reasons: Growing

competition - Technological advancements - Increased customer awareness and expectations - Globalisation - Shift from mass marketing to targeted marketing - Rise of digital and social media influence - Focus on relationship marketing.

17. **Difference between Wholesalers and Retailers:** Wholesalers are intermediaries who purchase goods in large quantities directly from manufacturers and sell them in bulk to retailers, industrial users, or other wholesalers - typically operate from warehouses, focus on volume based transactions, and do not usually deal with final consumers - primary functions include bulk breaking, storage, financing, and risk bearing. Retailers are intermediaries who purchase goods from wholesalers or manufacturers and sell them in small quantities directly to final consumers - operate close to the consumer market, provide customer service, offer product variety, and play a key role in influencing consumer buying decisions - focus on convenience, display, after sales service, and personal selling.
18. **How Promotion helps in building Brand Image:** Promotion communicates brand values and identity: what the brand stands for - its personality, values, mission, and unique selling proposition – Promotion increases brand awareness and recall - creates emotional and psychological connections - appropriate use of an example
19. **Reasons Why Marketing Mix is Important:** Define marketing mix as the 4Ps used to satisfy customer needs - Any ***three*** valid reasons: ensures customer satisfaction - helps in effective market positioning - facilitates coordination of marketing activities - supports competitive advantage - improves resource allocation - adapt to market changes - guides decision-making.
20. **4As of Rural Marketing:** 1. Affordability: Products must be priced to suit rural income levels – companies offer low-unit packs, value pricing, and cost-efficient products to ensure purchase feasibility. 2. Availability/Accessibility: Products reach remote and geographically dispersed rural areas - requires strong distribution networks, village-level entrepreneurs, and innovative last-mile delivery systems. 3. Awareness: Focuses on educating rural consumers about the product's benefits, usage, and value - companies use local communication channels such as wall paintings, folk media, village events, and mobile vans. 4. Acceptability: Designing products that meet rural needs, preferences, and cultural expectations - includes product size, packaging, durability, and relevance to rural lifestyles - companies adapt offerings to local tastes and conditions.

21. **Factors influencing Promotion Mix Decisions:** Promotion mix is the combination of promotional tools such as advertising, personal selling, sales promotion, public relations, direct marketing, etc. that are shaped by several internal and external factors - Any ***three*** valid factors: nature of the product (Consumer goods (FMCG) require mass advertising and sales promotion because they target a large audience, while industrial goods require personal selling because buyers need technical information and negotiation) – nature of the market/target audience (A large, geographically dispersed market requires advertising and digital promotion, while a small, concentrated market may rely more on personal selling) – stage in the product life cycle (Introduction stage: Heavy advertising and sales promotion to create awareness - Growth stage: Competitive advertising to build preference - Maturity stage: Sales promotions to defend market share - Decline stage: Minimal promotion) – budget availability (Firms with large budgets can invest in mass media advertising, while firms with limited budgets rely on cost-effective tools like digital marketing or personal selling) – competition intensity (In highly competitive markets, firms must invest more in advertising, sales promotions, and brand-building activities to differentiate themselves. While in low-competition markets, minimal promotion may be sufficient) – organisation-related factors (Company size, reputation, marketing objectives, and internal capabilities influence promotional decisions. Large firms may use all promotional tools, while smaller firms may focus on selective methods)
22. **B2A Marketing:** - Business-to-Administration (B2A) marketing is a specialised form of marketing directed toward government bodies, public sector institutions, and regulatory authorities. It involves formal, structured, and compliance-driven processes such as tenders, contracts, procurement processes, and compliance with government regulations. It requires credibility, transparency, and performance history. It is highly regulated and documentation-heavy.
23. **Market Segmentation:** Market Segmentation is the process of dividing the heterogeneous market into smaller groups of consumers with similar needs, behaviours, or characteristics. Segmentation bases: demographic (age, gender, income, education, etc.), geographic (region, climate, population density, etc.), psychographic (lifestyle, personality, values, etc.), behavioural (usage rate, loyalty, benefits sought, etc.)

PART C: Short Essay Questions

Answer any 5 questions - Each question carries *6 marks* [6×5=30]

24. **Role of STP in Modern Marketing:** The STP model – Segmentation, Targeting, and Positioning – is a strategic marketing framework that helps firms identify the right customers, choose the most profitable segments, and position their offerings effectively. It is central to modern marketing because it shifts focus from mass marketing to customer-centric marketing.

    1. **Market Segmentation**: Segmentation involves dividing a heterogeneous market into smaller, homogeneous groups based on shared characteristics such as demographics, geography, psychographics, and behaviour.

       Role in modern marketing

       - Helps firms understand diverse customer needs.
       - Enables customised marketing strategies.
       - Improves product relevance and customer satisfaction.
       - Reduces wastage of resources by avoiding unfocused marketing.

       Example: A smartphone brand segments customers into "budget users", "camera lovers", and "gamers".

    2. **Targeting**: Targeting involves evaluating each segment's attractiveness and selecting one or more segments to serve.

       Role in modern marketing

       - Helps firms focus on profitable segments.
       - Allows efficient allocation of marketing budgets.
       - Enables differentiated marketing strategies for each segment.
       - Supports competitive advantage by focusing on niche markets.

       Example: A brand targets "youth gamers" with high-performance phones and gaming features.

    3. **Positioning**: Positioning refers to designing a brand's image and value proposition to occupy a distinct place in the consumer's mind.

       Role in modern marketing

       - Helps differentiate the brand from competitors.
       - Builds strong brand identity and recall.
       - Communicates unique benefits clearly.

- Influences customer perception and purchase decisions.

STP ensures that marketing efforts are precise, efficient, and customer-focused. It is essential for modern marketing success because it aligns products with the right customers and creates a strong competitive position.

25. **Buying Motives influence Consumer Decisions:** Buying motives are the internal forces that drive a consumer to purchase a product. They explain why a consumer chooses one product over another. According to consumer-behaviour research, motivation is the "spark" that triggers purchase decisions and varies widely across individuals. Buying motives therefore play a central role in shaping consumer choices.

    a. **Rational motives**: Rational motives are based on logical thinking and objective evaluation.

    How they influence decisions:

    - Consumers compare price, quality, durability, utility, and performance.
    - They choose products that offer the best value for money.
    - Leads to careful, well-planned decisions.

    Example: Buying a laptop based on RAM, processor speed, and warranty.

    b. **Emotional motives**: Emotional motives arise from feelings such as pride, fear, love, joy, comfort, or status.

    How they influence decisions:

    - Encourage impulse buying.
    - Create strong brand attachment.
    - Influence purchases in luxury, fashion, and lifestyle categories.

    Example: A consumer buys a premium perfume to feel confident or attractive.

    c. **Social motives**: Consumers buy products to gain acceptance, recognition, or belonging in society.

    How they influence decisions:

    - Shape lifestyle choices and brand preferences.
    - Peer influence and social approval guide many purchases.
    - Particularly strong among youth.

    Example: Buying branded shoes or smartphones to fit in with friends.

    d. **Loyalty motives**: These motives explain why consumers prefer certain shops or brands.

    How they influence decisions:

- Trust, good service, convenience, and reputation lead to repeat purchases.
- Consumers remain loyal even when alternatives exist.
- Builds long-term customer relationships.

Example: A consumer shopping at a supermarket known for its cleanliness and quality.

Buying motives – rational, emotional, social, and loyalty – play a crucial role in shaping consumer decisions. They determine how consumers evaluate products, select brands, and make final purchases. Understanding these motives helps marketers design effective strategies that appeal to customer needs and emotions.

26. **Distribution Channels are crucial for Marketing Success:** Distribution channels are the pathways through which goods move from producers to consumers. They include wholesalers, retailers, agents, distributors, and online platforms. They play a vital role in ensuring that products are available, accessible, and delivered efficiently.
    a. **Ensures Product Availability**: Distribution channels make sure products reach the right place at the right time. Even the best product fails if it is not available when customers want it. Example: FMCG companies rely on extensive retail networks to ensure daily-use products are always in stock.
    b. **Reduces Distribution Costs**: Intermediaries perform essential functions such as transportation, storage, financing, and risk-bearing. This reduces the producer's burden and lowers overall distribution costs. Efficient channels minimise wastage, delays, and handling expenses.
    c. **Expands Market Reach**: Distribution channels help companies reach geographically dispersed markets, including rural and remote areas. This increases sales volume and market penetration. Example: Hindustan Unilever Limited (HUL)'s rural distribution network reaches thousands of villages.
    d. **Enhances Customer Convenience**: Retailers, supermarkets, and e-commerce platforms provide easy access, variety, and after-sales service. Convenience improves customer satisfaction and encourages repeat purchases. Consumers prefer brands that are readily available.
    e. **Supports Promotion and Branding**: Channel partners participate in in-store displays, merchandising, demonstrations, and promotions. This increases brand visibility and influences buying decisions at the point of sale. Retailers often act as brand ambassadors.

f. **Facilitates Market Feedback**: Intermediaries provide valuable information about consumer preferences, competitor activities, and market trends. This helps producers adjust pricing, packaging, and promotional strategies.

Distribution channels are essential for marketing success because they ensure product availability, reduce costs, expand reach, support promotion, and improve customer satisfaction. Without efficient distribution, even the best products cannot succeed in the market.

27. **Efficient Marketing reduces wastage and improves Economic Progress:** Efficient marketing ensures that goods move smoothly from producers to consumers with minimum waste and maximum value. It aligns production with demand, improves distribution, and contributes directly to national economic development.

1. **Reduces Overproduction and Wastage**: Efficient marketing uses demand forecasting to match production with consumer needs. This prevents overproduction, unsold stock, and spoilage – especially important for perishable goods like fruits, vegetables, and dairy.

2. **Improves Distribution Efficiency**: Marketing ensures proper transportation, storage, and handling of goods. Better logistics reduce damage, delays, and wastage during movement from farms/factories to markets. Cold storage and warehousing further minimise losses.

3. **Enhances Resource Utilisation**: Marketing helps producers understand what consumers want. This ensures optimal use of raw materials, labour, capital, and technology, reducing unnecessary expenditure and improving productivity.

4. **Stimulates Production and Employment**: Marketing creates demand → demand increases production → production creates jobs. Employment grows in manufacturing, transport, retail, advertising, packaging, and logistics. This strengthens the overall economy.

5. **Encourages Innovation and Quality Improvement**: Competition in marketing pushes firms to innovate, improve quality, and adopt better technology. Higher-quality products increase consumer satisfaction and boost national competitiveness.

6. **Increases National Income and Economic Growth**: Efficient marketing expands markets, increases sales, and promotes exports. Higher business turnover contributes to GDP growth, tax revenue, and overall economic progress.

Efficient marketing reduces wastage at every stage – from production to distribution – and ensures optimal use of resources. By stimulating demand, creating employment, and improving quality, it plays a vital role in accelerating economic development.

28. **Digital Marketing – Advantages and Disadvantages:** Digital marketing refers to the promotion of products and services using digital technologies, including the internet, mobile devices, social media, search engines, email, and websites. It enables businesses to reach customers through electronic media and online platforms.

Advantages of Digital Marketing

1. **Wider Reach and Global Access**: Digital platforms allow businesses to reach customers across regions and countries instantly. Even small firms can access global markets through online channels.

2**. Cost-Effective Compared to Traditional Marketing**: Online advertising (social media ads, SEO, email marketing) is far cheaper than TV, print, or outdoor ads. This makes digital marketing suitable for start-ups and small businesses.

3. **Measurable and Trackable Results**: Analytics tools provide real-time data on clicks, conversions, engagement, and customer behaviour. This helps marketers evaluate performance and optimise campaigns.

4. **Precise Targeting**: Digital marketing allows targeting based on age, location, interests, behaviour, and browsing patterns. This increases the effectiveness of promotional campaigns.

5. **Faster and Interactive Communication**: Brands can interact instantly with customers through social media, chatbots, and email. This improves customer engagement and satisfaction.

Disadvantages of Digital Marketing

1. **High Competition and Content Overload**: Millions of brands compete for attention online. Standing out requires continuous effort, creativity, and investment.

2. **Security and Privacy Risks**: Cyber-attacks, data breaches, and misuse of personal information can reduce customer trust. Businesses must invest in strong security systems.

3. **Requires Technical Skills and Expertise**: Effective digital marketing requires knowledge of SEO, analytics, content creation, and ad management. Lack of skills can reduce campaign effectiveness.

4. **Internet Dependency**: Digital marketing is ineffective in areas with poor internet connectivity. These limits reach in rural or low-network regions.

Digital marketing is a powerful, cost-effective, and measurable tool for modern businesses. However, it also comes with challenges such as high competition, security risks, and the need for technical expertise. A balanced approach helps firms maximise its benefits while managing its limitations.

29. **Advantages and Importance of Grading in Marketing:** Grading is the process of classifying products into different categories based on predetermined standards such as size, quality, weight, colour, or purity. It is widely used in agricultural markets (grains, fruits, eggs, cotton) and industrial goods. Grading ensures uniformity and helps buyers and sellers trade with confidence.

Advantages of Grading

1. **Ensures Uniform Quality**: Grading maintains consistent quality across products. Buyers can trust the grade without inspecting every item. This increases consumer confidence and satisfaction.

2. **Facilitates Pricing**: Standardised grades make pricing easier and more transparent. Higher grades fetch higher prices, while lower grades are priced accordingly. This reduces bargaining and disputes.

3. **Reduces Inspection and Sorting Costs:** Since products are already classified, buyers save time and effort. This speeds up transactions and reduces labour costs.

4. **Increases Sales and Market Demand**: Graded goods are easier to sell because customers trust their quality. This increases demand and encourages large-scale production.

Importance of Grading

1. **Improves Market Efficiency**: Grading simplifies buying and selling, making markets more organised. It reduces confusion and speeds up trade.

2. **Supports Export Competitiveness**: International markets require strict quality standards. Grading helps exporters meet global specifications and earn better prices.

3. **Benefits Farmers and Producers**: Producers receive fair prices for higher-quality goods. Grading encourages them to improve quality and adopt better farming/production practices.

4. **Helps in Storage, Processing, and Transportation**: Uniform products are easier to pack, store, and transport. This reduces wastage and improves supply-chain efficiency.

Grading is essential for ensuring quality, fair pricing, efficient marketing, and global competitiveness. It benefits all stakeholders – farmers, traders, processors, exporters, and consumers – by making the marketing system more transparent and reliable.

30. **Holistic Marketing improve Business Performance:** Holistic marketing is a modern marketing approach that views the entire business as one integrated system. It aligns all departments, stakeholders, and marketing activities toward a shared vision and a unified customer experience. It aligns all employees with a shared business vision and integrates marketing across all business functions. Holistic marketing "positions a business as an interdependent entity," meaning all parts work together.

    1. **Builds Stronger Customer Relationships**: Holistic marketing emphasises relationship marketing, which focuses on long-term customer satisfaction rather than short-term sales. - Leads to higher customer loyalty. - Increases customer lifetime value. - Reduces churn and improves retention.

    2. **Ensures Brand Consistency Across All Touch points**: Integrated marketing - one of the pillars of holistic marketing - ensures that all messages, promotions, and brand communications are consistent. - Strengthens brand identity. - Improves trust and recognition. - Prevents mixed or confusing messages.

    3. **Improves Internal Efficiency and Coordination**: Holistic marketing aligns all departments (marketing, HR, finance, operations) toward common goals. - Reduces duplication of work. - Improves teamwork and communication. - Ensures smoother execution of strategies.

    4. **Enhances Innovation and Adaptability**: Because holistic marketing encourages cross-functional collaboration, businesses generate better ideas and adapt faster to market changes. - Encourages creativity. - Helps firms respond quickly to customer needs. - Supports continuous improvement.

    5. **Strengthens Social Responsibility and Public Image**: Holistic marketing includes societal marketing, which focuses on ethics, sustainability, and community welfare. - Builds goodwill and trust. - Improves brand reputation. - Attracts socially conscious customers.

    6. **Improves Overall Business Performance**: By integrating all marketing activities and aligning them with organisational goals - Increases efficiency - Reduces internal conflict - Enhances customer satisfaction - Boosts sales and profitability

    Holistic marketing improves business performance by ensuring brand consistency, strengthening customer relationships, enhancing internal coordination, promoting

innovation, and building a positive public image. It transforms marketing from a department-specific activity into a company-wide strategic philosophy, leading to sustainable long-term success.